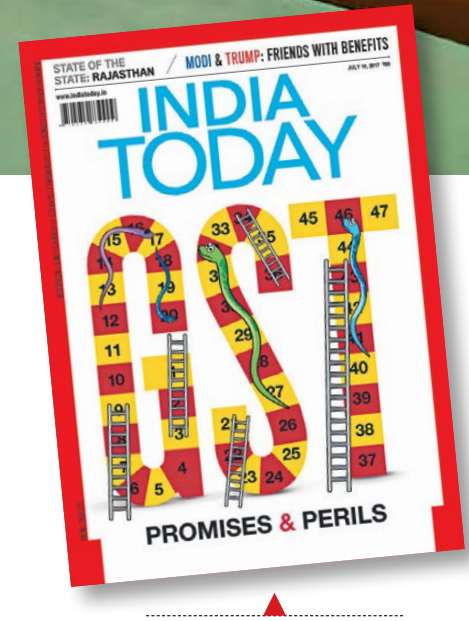


THE GST COUNCIL, CHAIRED BY THE UNION FINANCE MINISTER AND INCLUDING STATE FINANCE MINISTERS, IS A RARE EXAMPLE OF FISCAL FEDERALISM




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**Seventeen years after it was proposed, India moved closer to 'one nation, one tax' when it implemented the Goods and Services tax on July 1, 2017.** Subsuming the multiple levies by the Centre as well as states, the Constitution (One Hundred and First Amendment) Act introduced a single value-added tax, in a quest to simplify India's complicated indirect tax structure. Businesses were allowed to claim input tax credit, so that they could offset the tax they paid on the purchase of a good against the tax they received on the sale of a finished product, avoiding tax on tax. States could claim compensation for lost revenue. In practice, though, GST was far from perfect, with a multiplicity of slabs, faulty product classification, heavy compliance burden for small businesses, and Centre-state disputes over compensation delays marring the original premise of a single, simple tax. The first reform came this September when the original four slabs were reduced to two. But a chief complaint remains: petroleum and alcohol remain outside its ambit. ■